

24NNCV06180 24NNCV06180

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Case Number: 24NNCV06180 Hearing Date: July 31, 2026 Dept: B

Hon. Victor Avila, Dept B

Motion to Amend Judgment

Hearing Date: 7/31/26

CASE NO./NAME: 24NNCV06180/ Aerofund

Financial, LLC v. Builders First Source LLC

Moving Party: Plaintiff Aerofund

Financial, LLC

Responding Party: Special Appearing Proposed

Debtor Builders FirstSource-Dallas, LLC

Notice: Sufficient

Ruling: DENY without prejudice.

NOTICE

The

Court is not requesting oral argument on this matter/motion. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to argue as to this matter/motion. The tentative ruling will

become the ruling of the court if no argument is received. Notice may be given either by email at or by telephone at (818) 260-8422.

Parties

must appear on all other matters scheduled for this case.

BACKGROUND

This is a nonpayment action. On November 27, 2024, plaintiff Aerofund Financial (Plaintiff) filed a complaint against defendants Builders First Source, LLC (Defendant) and DOES 1-20 alleging nonpayment assigned invoices and accounts stated. On January 29, 2025, Plaintiff dismissed DOES 1-20 from the action. On February 21, 2025, judgment was entered in Plaintiff's favor.

On April 29, 2026, Plaintiff filed the instant motion to amend the judgment and name Builders FirstSource-Dallas LLC (Builders-Dallas) as the alter ego of defendant Builders First Source, LLC (Defendant). (Mot., pp. 1-2.) On July 20, 2026, specially appearing party Builders-Dallas filed an opposition. On July 23, 2026, Plaintiff filed a reply.

REQUEST

FOR JUDICIAL NOTICE

Plaintiff requests judicial notice of Exhibit: (2) California entities search for "Builders First Source LLC". The request is granted. (Evid. Code, § 452(d).)

LEGAL

STANDARD

"Under Code of Civil Procedure section 187, 'the trial court has jurisdiction to modify a judgment to add additional judgment debtors. [Citation.]'" (Wolf Metals Inc. v. Rand Pacific Sales Inc (2016) 4 Cal.App.5th 698, 703 (Wolf Metals Inc.).)

As a general rule, "a court may amend its judgment at any time so that the judgment will properly designate the real defendants." (Favila v. Pasquarella (2021) 65 Cal.App.5th 934, 942.) Judgments may be amended to add additional

judgment debtors on the ground that a person or entity is the alter ego of the original judgment debtor.” (Ibid.) “Amendment of a judgment to add an alter ego ‘is an equitable procedure based on the theory that the court is not amending the judgment to add a new defendant but is merely inserting the correct name of the real defendant.” (Ibid.) In addition, even if all the formal elements necessary to establish alter ego liability are not present, an unnamed party may be included as a judgment debtor if “the equities overwhelmingly favor” the amendment and it is necessary to prevent an injustice.” (Ibid.)

Additionally, “where the successor corporation is a mere continuation and hence liable for the acts of its predecessor ... a motion pursuant to the procedural mechanism of section 187 enables the court to consider disregarding the corporate entity ... in order to add an additional judgment debtor.” (McClellan v. Northridge Park Townhome Owners Ass'n (2001) 89 Cal.App.4th 746, 754-755 (McClellan).)

DISCUSSION

Alter-Ego

Alter ego exists

where (1) unity of interest and ownership eliminates separateness and (2) an inequitable result would follow if the acts are treated as those of the corporation alone. (Mesler v. Bragg Mgmt. Co. (1985) 39 Cal.3d 290, 300; Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.) Factors include commingling of funds, centralized accounting, disregard of formalities, and one entity paying the debts of another. (Associated Vendors, Inc. v. Oakland Meat Co. (1962) 210 Cal.App.2d 825, 838-40.)

Plaintiff

argues that Builders-Dallas paid the invoices issued by Defendant and Builders-Dallas operates Defendant's pseudo bank account by paying all its bills. (Mot., p. 3.) Plaintiff further argues that payment of one affiliate's invoices or liabilities by another affiliated entity is classic evidence of commingling and lack of corporate separateness, which directly supports the unity-of-interest requirement for alter-ego liability. (Mot., p. 4.) Further, Plaintiff argues that an inequitable result would follow if Builders -Dallas is allowed to avoid liability through corporate formalities despite operating as a single enterprise. (Ibid.)

In

opposition, Builders-Dallas argues that Plaintiff's motion is not a simple name correction but instead seeks to impose judgment on a third-party who was not held liable on the underlying claim. (Opp., p. 1.) Further, Builder-Dallas argues that imposing the judgment on them would violate due process in that their rights were not represented in the underlying litigation. (Opp., p. 2.) Builders-Dallas argues that Plaintiff shows only that they footed some bills for Defendant, but does not provide evidence of common ownership, domination, misuse of the corporate form, or disregard for the separateness of the entities. (Ibid.) Builder-Dallas argues that most importantly Plaintiff has not established that the amendment would not violate due process. (Ibid.)

In

reply, Plaintiff argues that Builders-Dallas is not an unrelated third-party because they are the real entity behind Defendant. (Reply, p. 8.) Plaintiff argues that at the time the transaction at issue occurred, Defendant entity did not yet exist, but Builders-Dallas did exist as an entity and paid all the bills for Defendant's operational name, Builders First-Source. (Ibid.) Plaintiff reiterates that Builders-Dallas is the operational bank account behind Defendant and paid every invoice at issue in the instant action. (Reply, pp. 5-6.) Plaintiff argues that adding Builders-Dallas as an additional judgment debtor simply names the real entity behind Defendant. (Reply, p. 9.)

Here,

Plaintiff provides a copy of an entity search for "builders first search" showing that the earliest initial filing date is August 25, 2024. (RJN, Exh. 2.) Moreover, Plaintiff's counsel declares that when trying to obtain judgment funds, they discovered that Defendant does not have their own bank account. (Laney Decl., ¶ 3.) Attached to Plaintiff's counsel's declaration, not as an exhibit, is a copy of a business organization inquiry from the Texas secretary of state which identifies Builders-Dallas as existing as early as 2003. (Laney Decl., p. 3.) This is the only evidence presented by Plaintiff to establish that Builders-Dallas is the alter ego of Defendant. Plaintiff has not provided sufficient evidence to establish that Builders-Dallas is the alter-ego of Defendant. For example, the court in *Pan Pacific Sash & Door Co. v. Greendale Park, Inc.* found alter ego liability where the moving party provided evidence that the corporations in question both had the same stockholders, directors and officers, occupied the same premises as their offices, and had common employees; both were without substantial capital; each loaned money to the

other; and each received the benefit of the other supporting a finding of true unity of interests. (Pan Pacific Sash & Door Co. v. Greendale Park, Inc. (1958) 166 Cal.App.2d 652, 655-60.) Here, Plaintiff has not provided such evidence. The Court cannot impose judgment on a debtor without sufficient evidence of alter-ego liability.

Accordingly, the motion is DENIED,
without prejudice.

CONCLUSION
AND ORDER

Plaintiff's Motion to Amend Judgment is DENIED,
without prejudice.

MOVING PARTY is to give notice.